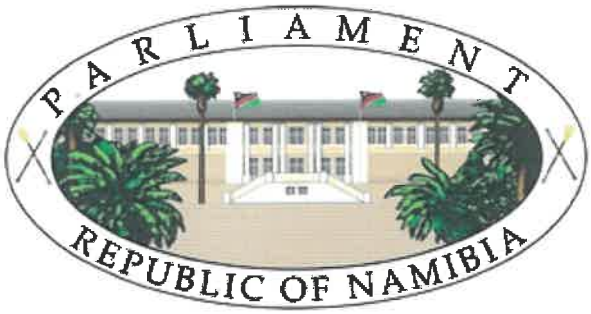

NATIONAL ASSEMBLY 7th PARLIAMENT

REPORT ON THE REVIEW OF AUDITS OF NAMIBIA BROADCASTING CORPORATION FOR THE YEARS ENDED 31 MARCH 2017/2018.

COMMITTEE ON PUBLIC ACCOUNTS

REPORT NO. 1 OF 2025

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1. INTRODUCTION

This Report of the Parliamentary Standing Committee on Public Accounts presents the outcomes of the Committee's review and examination of Namibia Broadcasting Corporation (NBC) audited report for the financial years ended 31 March 2018 as tabled in the National Assembly by the Minister of Finance.

The Committee evaluated responses provided by NBC and where the responses were found not to be satisfactory, further requests were made for clarification in writing. The Committee also conducted public hearings in terms of Article 63(2) (f) of the Namibian Constitution which gave the Committee powers to invite any official to appear before it and to account for and explain his or her acts and programmes.

This Report, therefore, presents all the concerns, observations and issues raised during the review and examination process as well as the response of the Corporation's Chief Executive Officer (CEO).

2. COMPOSITION OF THE COMMITTEE

MEMEBERS OF COMMITTEE

1. Hon Dudu Murorua	Chairperson
2. Hon. Helaria Mukapuli	Deputy Chairperson
3. Hon. Julieta Kavetuna	Member
4. Hon. Hamunyera Hambyuka	Member
5. Hon. Josef Kauandenge	Member
6. Hon. Vincent Mareka	Member
7. Hon. Leevi Katoma	Member
8. Hon. Emilia Nuyoma-Amupewa	Member
9. Hon. Mathias Mbundu	Member
10. Hon. Elma Dienda	Member
11. Hon. Nico Smit	Member
12. Hon. Bernadus Swartbooi	Member
13. Hon. Kennedy Shekupakela	Member
14. Hon. Charmaine Tjirare	Member
15. Hon. Koviao Hengari	Member
16. Hon. Fenni Nanyeni	Member

SECRETARIAT TO THE COMMITTEE:

1. Mr. Protasius Nghileendele	Deputy Director
2. Mr. Norbert Uuyuni	Chief Parliamentary Clerk
3. Mr. Geoffrey Muhinda	Parliamentary Clerk
4. Ms. Gracious Mwiya	Parliamentary Clerk

OFFICE OF THE AUDITOR-GENERAL

Committee was provided with technical assistance by the Office of the Auditor-General which included:

1. Mr. Goms Menette, Deputy Auditor-General,
2. Mr. Blessing Nyandoro,
3. Mr. Elias Tuaire,
4. Mr. Shali Kapepo,
5. Ms. Grace Nelwamondo,
6. Ms. Sithembile Mpofu,
7. Ms. Christell Nassauw,
8. Mr. Jonathan Hamulungu.

3. MANDATE OF THE COMMITTEE

In terms of Rule 69 of the Standing Rules and Orders of the National Assembly, the Parliamentary Standing Committee on Public Accounts has the duty to examine, consider and report on: -

(a) The accounts showing the appropriation of the sums granted by Parliament to meet public expenditure of the Republic;
(b) Such other accounts, reports and any other matter or task as may be referred to the Committee by the House, or under any other law;
(c) All reports of the Auditor-General on any such accounts;
(d) All accounts and reports of accounts where the State has interests; and
(e) All State-Owned Enterprises and Parastatals.

The Committee reports on its findings and makes its recommendations to the Assembly for consideration and debate.

Upon adoption of the report and recommendations by the Assembly, the Committee has a duty to report on the implementation of the recommendations within six months of their adoption.

4. REVIEW PROCESS

The Parliamentary Standing Committee on Public Accounts met in Otjiwarongo (Otjozondjupa Region) from 17to 22 May 2022 to review the reports tabled by Minister of Finance and referred to the Standing Committee on Public Accounts for further scrutiny. The Committee reviewed audit reports during its assessment and agreed that letters should be written to obtain further clarity on issues raised in the management letter formulated by the Office of the Auditor-General and as contained in the audit report. On 01 July 2021, the Committee wrote a letter to NBC's Director-General requesting for written responses that were received on 06 July 2021 and on 13 August 2021. The responses and supporting documents were reviewed by Committee Members, Deputy Auditor-General, Secretariat of the Public Accounts Committee

and staff members of the Office of the Auditor-General on 12 and 13 November 2021. In view of the dissatisfactory responses received, the Committee unanimously agreed to call the Director-General and Senior Management of NBC for a public hearing which was held on 23 November 2021. The public hearing was livestreamed to the public which enabled them to view the proceeding in real time as well as to participate in the democratic process of the oversight function by the Legislature.

5. PURPOSE OF THE REPORT

The purpose is to report back to the National Assembly on the outcomes of the review and examination of NBC Audited Financial Report for the year ended 31 March 2018 for discussion and subsequent adoption of the recommendations made in this report.

5.1. REVIEW AND EXAMINATION

The NBC was given an adverse audit opinion by the Auditor-General for the financial year ended 31 March 2018 because the accompanying financial statements did not give a fair view of the financial position of Corporation.

6. THE REPORT

6.1 FINANCIAL AUDIT

NBC informed the Committee that, audit at the institution only started in 2010. Before that the Corporation had more than thirty-one (31) audit queries and the current management of the corporation has managed to scale down the audit queries from thirty-one (31) to twenty-one (21) and at the time of public hearings, the institution had less than twelve (12) audit queries in its quest to obtain unqualified audit opinion. Further remarks were also made that NBC is not a commercial entity, but it has made great strides by making profit compared to other state owned enterprises. Below is the audit evidence obtained from records submitted by the management of NBC to the Office of the Auditor-General.

6.1.1 Medical Aid

The Corporation has recognised the post-retirement medical scheme obligation of N$ 348 174 000. It was further observed that there were no specific assets set aside by the Corporation to fund these liabilities. Technically the scheme is not funded.

The Committee sort clarification from NBC on the identity of its medical Aid service provider and the terms of the agreement. The Committee further sought answers regarding the Corporation strategy to honour its liability for the post-retirement medical benefit fund amounting to N$348 174 000?

Responses:

Renaissance Medical Aid is the registered service provider to NBC for post-retirement medical aid. The Director-General further explained to the Committee that the funding challenge of NBC from a subsidy perspective already started in 1993 and has continued unabated. In addition, the Committee was also

informed that, as per the financial year that ended in March 2020/21, the Corporation received a subsidy of three hundred and thirty-four million (N$334 000 000) and this money was used to settle the outstanding medical aid and the pension fund owed to its employees. As for the post-medical retirement fund, the Director-General responded that NBC does not have such reserves nor does it has assets because it is highly dependent on its cash flow revenue streams which was never good for such undertaking, but the Corporation has made sure that all who retires receives their pensions.

Committee Evaluation:

The Committee was not provided with the Terms of References for Renaissance Medical Aid as the service provider for the Corporation's post-retirement Medical Aid. Furthermore, the Committee is adamant that it is highly unlikely that there were no assets or reserves to cover the post retirement liability, while deductions were made from employees. The Committee noted that this practice was unethical, fraudulent and unacceptable.

Committee Recommendation:

It is recommended that:
(1). The Terms of Agreement between NBC and Renaissance Medical Aid Fund be provided to the Committee in order to find out whether the Corporation could honour its obligations to cover its post retirement liabilities;

(2). That NBC should account for the decision to put money back into circulation instead of pay-out (what) and whether this decision was in line with existing laws and procedures;

(3). The Committee recommends that the Anti-Corruption Commission should conducts an investigation into the practice of deducting money from the employees and employer, and not paying it over to service providers (e.g. Medical aid and NamRa), and also to determine whether such a decision was proper, legal and in line with the Terms of the Agreements between NBC and Renaissance Medical Aid Fund as well as NamRa.

(4). It is recommended that the Corporation should ensure that whoever is providing services to it, is properly qualified, experienced and has been approved by the NBC Board;

(5) NBC should be aware that as long as they receive subsidy from Government, audit will be part of their existence, so it is important to adhere and implement audit opinions in order to safeguard taxpayer's money.

6.1.2 Land

The property valuation report presented to the Committee was not signed by the valuator. With regards to his qualifications, the Committee was presented with the evaluator's certificate of admission to the University of Cape Town dated 10 December 2007 to study for a Degree in Property Studies as well as a National Diploma in Land Management attained from the Polytechnic of Namibia. There is no indication that the valuator has the relevant professional qualifications in property valuations and whether he is a member of a recognised professional body.

Questions

The Committee asked the Director- General to explain what steps were taken in order to arrive at the valuation, whether the tender was advertised or called for a bidding process to acquire/procure the services of a qualified valuator and to provide proof on how NBC arrived at the value of the land indicated in the financial statement.

Response

The Director-General replied to the Committee during the public hearing that the institution did not have a Valuator. In addition, the Director-General said that "there was an open tender placed in early 2015, and it was awarded to the service provider in June 2015. The amount expended for that period was about four hundred and twelve in total that was spend on this particular evaluator. The Director -General could found proof of the records, such as the newspaper advert and the letter awarding the work that needed to be done. Therefore, after receiving all documents on the valuation tender, they submitted them to the Valuer-General and a company called Ubuso was nominated to do the property valuation on all NBC properties. NBC promised during the public hearing that they will submit the Board Minutes and the CV of the Valuator to the Committee the following day after the hearing which was (24 November 2021)".

Committee Evaluation

The Committee noted that the appointed Valuator lacked the necessary qualification to carry out valuation services. As a result, NBC incurred wasteful expenditure. The Committee is yet to receive the Board Minutes which contains the resolution taken to award the tender to the Evaluator.

Committee Recommendation

It is recommended that the Corporation should ensure that whoever provides services is properly qualified and experienced and has been approved by the NBC Board.

6.1.3 Building

The International Accounting Standard 16 (Property, plant and equipment) was not applied correctly with regards to the treatment of re-valuation of land and buildings as evidenced by the fact that depreciation amounting to N$ 5 188 314 was charged to buildings despite the fact that they were re-valued based on the depreciated replacement cost basis.

Questions

The Committee asked NBC during the public hearing why they have overstated the value of the property in excess of N$5 million?

Response

The Corporation responded that the value of property was overstated due to duplication of land records (audit finding No.3) in the asset register as a result of human errors. Furthermore, the depreciation was overstated due to human errors in the valuation calculation – audit finding No.1 – "Depreciation amounting to N$ 5 188 314 was charged to buildings despite the fact that they were revalued based on the depreciated replacement cost basis." It is stated that subsequently financials were corrected.

Committee Evaluation

Although the Chief Executive Officer indicated that the financials were corrected during the public hearing, at the time of finalising this report, the Committee was still not presented with the corrected financials.

Committee Recommendation

The Committee recommends that the Office of the Auditor-General should follow up on the correction of the financials. Additionally, to ensure that the same issue does not re-occur in the ensuing financial years.

6.1.4 Creditors

There was an unexplained difference of N$ 795 220 between the creditors control account and the creditors listing.

Questions

The Committee questioned the Corporation, on the non-performance of reconciliation on individual creditors, challenges faced in conducting reconciliation and how they plan to overcome this problem? Lastly, the Committee wanted to know whether the capacity in the finance division meets the required standards. The NBC did not answer the last question.

Response

"NBC replied that they do perform reconciliation on individual accounts. A reconciliation file was provided to the auditors and there are no challenges experienced except that their current auditor sees it best to use consumption dates on utilities accounts instead of invoice and statement dates".

Committee Evaluation

The Committee observed that there are different interpretations between the NBC and the auditors on how to carry out the reconciliation of creditors.

Committee Recommendation

The Committee recommends that the reconciliation be properly done on consumption date when the services were provided. NBC has thirteen (13) bank accounts, it is recommended that the Corporation reduce the number of these accounts to a manageable number for easier reconciliation.

6.1.5 Title Deed

As per the deeds search that was performed on Erf 987, Oshakati with a book value of N$ 10 300 000 which is registered in the name of Namibia Development Corporation, but is included in the financial statements as a property of the Corporation.

Questions

The Committee asked the Corporation why did they include a building worth N$10 million without having the title deeds to support ownership. Furthermore, the Committee wanted to know, what measures has or will the Corporation put in place to ensure that this does not occur again and providing proof to the Committee.

Response

NBC gave feedback to the Committee that the value of the property was overstated due to duplication of land records in the asset register as a result of human errors. Depreciation was overstated due to human errors in the valuation calculation. Lastly, NBC replied and I quote "Audit journal for the reversal".? Not related…

Committee Evaluation

The Committee took note of the Chief Executive Officer's response. However, the fact remains that a property was included in the financials of NBC in the absence of a title deed to prove ownership. Furthermore, the Committee finds it difficult to comprehend how a competent staff would include a property not belonging to NBC in its financials.

Committee Recommendation

The Committee strongly recommends that accurate records, asset registers and necessary documents be kept, maintained and reviewed regularly to avoid similar occurrences in future, which would bring the reputation of the institution into question and disrepute.

6.1.6 Omissions

The audit revealed that there were no reconciliations performed by NBC at year end based on the sample tested which reflected the total difference of N$10'512'915.00 (understatement) between the general ledger and suppliers' statements.

Questions

The Committee, queried NBC on the total difference amount, its use and proof of use since it was not handed over to the Medical Aid Pension Fund or Treasury? NBC replied that Medical Aid service costs for Pensioners and Widowers were paid to the Service Provider without submitting proof of payment to the Committee. When NBC was asked about the possible legal repercussions that could arise as a result of the Corporation using money deducted from employees and not paying it over to the respective institutions. NBC confirmed to be fully aware and blame it on the shareholder (Government) for the underfunding, considering that it is a non-commercial State Owned Enterprise (SOE). In addition, when NBC was asked to explain what measures they have put in place to ensure that this does not happen again.

Response:

In reply, NBC informed the Committee in writing that the difference arose due to consumption dates vs invoice and statement dates simply because auditors wanted reconciliation done at consumption dates. In addition, the auditors found that medical aid contributions were deducted to the amount of N$2 848 323.00,

but not paid over to the service provider. The Committee enquired from NBC to explain the omission from financial statement. NBC responded that an amount of N$2.8M relates to the service costs of pensioners and widowers and were accounted for on a cash basis and paid when it became due on the 7th of each month. NBC informed the Committee that it has subsequently changed the accounting policy and service costs for pensioners and widowers are now dealt with on the accrual basis. The Corporation, assured PAC of its extensive negotiations with Executive Directors of the Minister of ICT, Finance and Public Enterprises respectively and the outcome of this meeting will be provided in due course to the Public Accounts Committee.

NBC was aware of legal repercussions, but justifies it as a result of low cash-flow due to low GRN subsidy. The CEO emphasised the serious underfunding of the NBC from a Shareholder perspective and its inability to be liquid as a going concern. The CEO also implore the Committee on the importance to recognised that, NBC despite being a non-commercial SOE generates close to N$100 and more out of its own revenue sources.

Committee Evaluation

The Committee took note of the Chief Executive officer's response. However, the Committee is not satisfied with the response because the differences between the general ledger and the suppliers statement remains unexplained.

Committee Recommendation

The Committee recommends that the reconciliation be properly done on a regular basis. Furthermore, the corporation should ensure that it produces complete financial records where all transactions are included and accurately recorded.

6.1.7. Transmitters

The transmitters audit/inspection report (conducted by Rubiem together with NBC technical staff) issued in September 2017 revealed loopholes in the controls over the handling of contracts and invoices for the transmitters revenue. The audit revealed that out of eleven (11) sites verified, eight (8) customers did not have contracts and were not being invoiced.
The auditors found VAT liability understatement of N$ 3'729 319.00 and the Corporation did not report accruals at the end of each financial year.
Furthermore, it was found that there was unallocated deposit of N$1 907 671.00 and the unreconciled negative debtors of N$5 315 943.00.

Question:

(1). NBC was asked why they did not have adequate control over the collection of funds for the rental income of transmitters and why did it record an amount of N$7 173 930 in the current financial year instead of the previous financial year?

(2). Further questions were asked to the Corporation regarding why was liabilities understated? For example, the VAT liability of N$ 3'729 319.00?

(3). In addition, further questions asked were why the Corporation did not report accruals at the end of each financial year?

(4). The Corporation was also asked latest status of that account and on the unallocated deposit of N$1 907 671.00 as well as the unreconciled negative debtors of N$5 315 943.00?

(5). Another concern was why reconciliation was not performed and why the Corporation failed to implement the recommendations of the auditors?

Response:

NBC, informed the Committee that it was an omission but was rectified in the subsequent financial year, as per IAS 8. On the follow-up whether the audit matters raised in the report had been addressed in the correct accounting period (contracts put in place and relevant invoicing done) because it was revealed that most of the contracts are not yet in place and relevant invoicing would be done once the contracts had been signed. Out of the 8 customers identified, only one customer's contract was signed and invoices raised, which was Channel 7 (Kamanjab Transmitter Site).

With regards to VAT, the Corporation gave feedback that the VAT payable was not intentionally understated. In preparation for the audit, a printout of VAT statement of account was obtained and reconciled on the General Ledger. The Statement of account from the Receiver of Revenue could change as transactions are processed and as VAT returns are submitted.

"NBC replied that the status of unallocated deposits account was amounting to N$90K? and the negative balances were cleared on a monthly basis". Furthermore, NBC informed the Committee that unknown deposits and negative debtors had been dealt with subsequently in accordance with the delegation of authority. The reconciliations were performed on a monthly basis while recommendations of the auditors were implemented, subsequently.

Committee Evaluation

The Committee took note of the Chief Executive Officer's response. However, at the time of the hearing the control over the transmitters and rental income was still poor.
The Committee noted that the Corporation understated their VAT value and therefore, the auditors finding was still valid. The Committee took note of the Chief Executive Officer's response. However, no documentation (signed transmitter contracts, complete reconciliation, reduction in unallocated deposits, proof that negative debtors were cleared, proof that Auditor-General's recommendations were implemented) was submitted to the Committee during the hearing or at the time of writing this report.

Committee Recommendation

The Committee recommends that the Corporation should improve the management and control of the transmitters reconciliations to be performed on a monthly basis. The transmitters audit conducted covered only 11 sites and management has not yet extended the audit to the rest of the sites due to financial constraints. Therefore, the Committee recommends that NBC should avail funds from its revenue streams to close these revenue leakages, by extending their audit to all the sites in order to maintain total control over the transmitters' rental control to ensure that revenue is maximised.

6.1.8. Licenses

Though invoicing for the TV licenses was done annually, the revenue was recognised on a receipt basis due to the inherent limitations of the database used for invoicing. The potential understatement of revenue is N$ 22 988 413.

Question

The Committee asked the Corporation various questions why were receipts and licenses books not recorded as allocated and issued to furniture and electronic stores selling television sets? Furthermore, the Corporation was asked about its ability to collect money from the stores if they have no idea how many books were issued per individual dealers? Despite the aforementioned, additional questions were asked about the measures in place to control revenue from the sales of TV licenses and how much revenue was collected from all TV selling companies by providing the Committee with records on how the amounts of TV license books distributed to all TV selling stores as well as the invoice numbers.

Response

NBC, replied that they were in disagreement with the question, but the statement of proof was never submitted or neither attached to their response. NBC went further to explain to the Committee that they have some agreement with Dealer Stores which stipulate processes pertaining to revenue controls, including money transfers. For individual TV set owners, direct payments through NBC Offices, Nictus, NAMPOST and EFT's payments received are recognised as such. Furthermore, NBC informed the Committee that it had introduced a dealer portal which was piloted, and a customer portal that allows customers to view invoices.

Committee Evaluation

The Committee is very dismayed by the Corporation's disagreement on the question of receipts and license books not recorded as allocated and issued to furniture and electronic stores and yet the Corporation has no measures in place to collect annual license fees. In addition, the Corporation did not submit any proof on how much customers owe them. Despite the corporation indicating that there was a piloted portal (that allows customers to view invoices), they failed to provide such proof to the Committee.

Committee Recommendation:

The Committee recommends that the corporation puts measures in place to license fee collection in order for NBC to obtain revenue e.g. Multi-Choice that has been streaming their programmes and retail shops selling TV sets. Control measures should be strengthened to improve the record keeping of the commitment register, maintain monthly reconciliation and to promptly follow-up with suppliers to ensure that payments are settled before the end of each financial year.

6.1.9. Value Added Tax (VAT)

In prior year audit reported that the taxable revenue declared to the Receiver of Revenue (for VAT purposes) was understated by N$ 60 529 850. The revenue was subsequently reconciled which reduced the under-declared amount to N$ 24 862 124 (after adjusting for zero rated advertising revenue from foreign customers). The revised VAT returns were filed in March 2018 which reduced the under-declared taxable revenue to N$ 12 394 825 (which is still not declared). The output VAT liability of N$ 3 729 319

(15% of N$ 24 861 124) had not been recognised in the General Ledger. Note that the revised returns were not captured on the ITAS system, (no letter was attached explaining the reasons for the revisions).

Question

The question was asked as to why NBC understated the amount that the Corporation owed to the Receiver of Revenue and whether they communicated or made arrangements with the Receiver of Revenue to pay the money owed to them? Lastly, to inform the Committee whether the VAT account was up to date?

Response

The Corporation replied to the Committee that the VAT payable was not intentionally understated. In preparing for the audit, a printout of VAT statement of account was obtained and reconciled with the General Ledger. Statement of account from Receiver of Revenue could change as transactions were processed and as VAT returns were submitted. Arrangement was made with the Receiver of Revenue to pay the monies owed to them. There was a payment plan in place to repay the Receiver Revenue N$50 000 every month. The VAT account was up to date.

Committee Evaluation

The Committee took note of the Accounting Officers response. However, the Committee was not provided with proof of monthly payment arrangements to the Receiver. In addition, the Committee noted that the corporation's tax was not up to date at the time of the public hearing.

Committee Recommendation

The Committee recommends that the Corporation gets its tax affairs in order and submit proof of good standing to the Committee and Office of the Auditor-General.

6.1.9. Erroneous Information

The auditors found the following incorrect and omissions on the statement of cash flows included on the financial statements:

(1). the addition to the investment in the Joint Venture of N$ 345 000 was not reflected in the statement of cash flows;
(2). the purchase of intangible assets was reflected as N$ 1 729 651, while the actual amount was N$ 1 631 201;
(3). Unrealised foreign exchange gains of N$ 7 476 979 was reflected, while the amount on the income statement was N$ 219 739 resulting in an unexplained difference of N$ 7 257 240;
(4). A decrease in inventories of N$ 331 816 was reflected for both 2017 and 2018 financial years, while the actual movement for the year was N$ 54 715;
(5). the finance lease capital received of N$ 5 013 482 was reflected, while there was no such receipt during the year;
(6). the finance lease repayments of N$ 3 480 126 were not reflected on the statement of cash flows;
(7). Finance charges were not reflected on the statement of cash flows.

Questions

(1). The Committee enquired on the reason for incorrect amount in relation to the cash flow statement?
(2). The CEO was further requested to explain which of the two figures was correct as they did not correspond.
(3). Further explanation was sought as to why there was a difference of cash flow recorded in the balance sheet compared to the cash flow statement?
(4). Moreover, reasons were sought on the present wrong cash flow figures and why he was unable to explain the difference between cash flow and balance?
(5). Lastly, what measures the Corporation intends to put in place to ensure that accurate figures will be recorded and that correct figures will be presented in future?

Response

NBC replied to the Committee that it was a technical omission which went unchecked, however the error was rectified. The Corporation indicated that the bank balance was the correct one as it refers to the actual balances at year end, despite the fact that the Committee wanted NBC to indicate which of the two concerned figures was an error and which one was correct. not necessarily the bank statement. The Corporation, replied that the differences are in the reconciling items of the cash flow statement and errors were made in the computation of reconciling items. though with regard to why they failed to explain the difference between cash flow and balance? NBC further informed the Committee that the Corporation is considering to acquire an accounting reporting software such as CaseWare for financial reporting.

Committee Evaluation

The Committee took note of the Chief Executive Officer's response. However, the Committee could not understand how the Cash Book was reopened and transactions were corrected to match those of the bank statements. In addition, the Committee noted that there is a lack of technical expertise within the Finance Department of the NBC.

Committee Recommendation

The Committee recommends that the corporation invest in training and development to capacitate staff members with the necessary financial skills. The staff in the Finance Department must continuously undergo professional development and the management should constantly check their work and have readily available documents for submission to the auditors upon request.

6.1.10 Clean-up Account

The financial clean-up account represents a provision processed with regard to the financial clean-up process performed at the Corporation. Processing these transactions resulted in a provision of N$ 64 465 650 as at 31 March 2013. No supporting documentation other than the journal entries processed were available. As of 31 March 2014, the provisions of the financial clean up provision was stated at N$ 32 461 964 and the related movement for the year in the provision for clean-up amounting to N$ 29 998 253 was recorded in the statement of comprehensive income. Management could not provide auditors with supporting documentation for the provision. During the 2014/2015 financial year the Corporation wrote-off the provision for financial clean-up as follows:

• N$ (48 280 608) was written off against assets;

- N$ 4 556 653 was allocated to equity (to correct opening balances); and
- N$ 11 253 969 was recorded in the statement of profit or loss and other comprehensive income.

Question

The auditors were unable to confirm how the account was cleared due to the unavailability of supporting documentation detailing what was contained in the clean-up account. Further question was asked to explain to the Committee in detail what was cleaned up and provide proof and what was the updated status of this clean-up account? In addition, the Committee asked the Corporation to explain what was debited and to provide proof of how this account was cleaned, which NBC did not even reply to.

Response

NBC replied to the Committee that, clean up account was created specifically to house all unreliable balances that arose due to historical errors of large magnitude and inadequate record keeping for past financial years. A write back entry was recognised when a previously unsupported balance had been validated to a reasonable level. The Corporation replied to the Committee that the clean- up account process had been finalised and the account was at zero. The NBC stated that it already addressed the matter at the previous Standing Committee meeting and also didn't come up as an audit item nor discussed apart from having been inserted as basis for the audit opinion

Committee Evaluation

The Committee took note of the Chief Executive Officer's response. However, the Committee is dissatisfied that there was no supporting documentation to validate how the account was cleared.

Committee Recommendation

The Committee recommends that the Clean–up Account be subjected to a forensic audit to determine if there was no misappropriation. In addition, the forensic audit must be carried out by an independent auditor/expert appointed by the Office of the Auditor-General and the Corporation must be responsible for all costs involved. The forensic audit findings should be submitted to the Committee and the Office of the Auditor-General three (3) months after this report is adopted in the National Assembly. Documents requested by the Committee should be submitted promptly.

Scope Limitation

During the audit process, the auditors were given access to the institution and submitted records. Furthermore, the questions were raised whether the Accounting Officer was aware that Section 26(1) (b) (i) of the State Finance Act 31 of 1991 clearly states that "The Auditor-General or any competent person employed in the Office of the Auditor-General shall have access to all books, vouchers, other documents, money, stamps, securities, forms having a face or potential value, equipment, stores and other movable goods owned or leased by the State or the statutory Institution concerned, in the possession or under the control of any person and which the Auditor-General deems necessary for an investigation, examination and audit in terms of this Act" In addition, the Accounting Officer was requested to explain his interpretation of this provision in the Act and its implication on the work to be performed by the Office of the Auditor-General. The Accounting Officer was requested to explain when the common ground was reached and to submit proof thereof.

7. KPI AUDIT

Compliance and Performance Audit

The Office of the Auditor-General issued a disclaimer opinion in this regard as the scope determined by the Auditor-General in terms of Section 26 (1) (a) (i) of the State Finance Act, which states that "Whenever the Auditor-General perform his or her duties in terms of this Act may in his or her discretion, determine the extent of any investigation, examination and audit".

8. COMMITTEE'S GENERAL OBSERVATIONS

The Committee would like to register with appreciation the cooperation of the Chief Executive Officer and the management team. The Committee further commend the CEO and his team for written responses and for some of the proof of documents provided and submitted. Most importantly the Committee appreciates the respect accorded by the team by availing themselves to attend the public hearing on the dates decided between the two institutions. The NBC management showed genuine willingness to cooperate with the Office of the Auditor-General and the Committee on Public Accounts.

9. CONCLUSION

As per the audit report, some of the financials were provided timeously by the Chief Executive Officer to the Office of the Auditor-General in order for the audit to be conducted. It was therefore imperative that the necessary information and support documents are requested in order to obtain clarity from NBC on the audit queries. The Committee would however, like to emphasize that the time frame of the review process, written questions and responses, review of responses public hearings, drafting of the report and the tabling of the reports is in general a lengthy process. The process was however, further prolonged by the outbreak of Covid-19 pandemic, due to restrictions on gatherings. The training conducted by the Office of the Auditor-General was helpful to Members as well as PAC Secretariat in order to comprehend the processes prior to inviting NBC in for public hearings. The Committee is hopeful that the mutual relationship between the Public Accounts Committee and the Office of the Auditor-General will continue to be cordial in order for the PAC to reach its ultimate objective, i.e. to hold institutions where public funds are appropriated and to account.

11. SIGNATURES OF MEMBERS OF THE COMMITTEE

.....	.....
Hon. Dudu Murorua	Hon. Helaria Mukapuli
Chairperson: Public Accounts Committee	Deputy Chairperson
.....	.....
Hon. Hambyuka Hamunyera	Hon. Vincent J. Mareka
.....	.....
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Hon. Joseph Kauandenge	Hon. Kennedy Shekupakela
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Hon. Charmaine Tjirare	Hon. Fenni Nanyeni

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Date

National Assembly
Parliament Building
Windhoek

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